

Key Financials

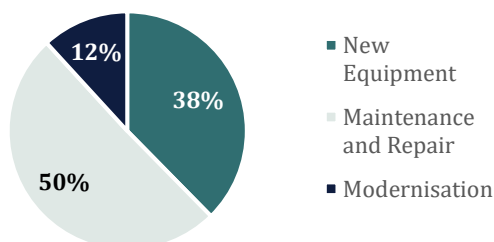
Market Cap	S\$39.5b
Basic Shares O/S	S\$421.3b
Free Float	88.2%
52-Wk High-Low	S\$73.32 - S\$87.33
Fiscal Year End	31-Dec-2024

(S\$ M)	FY22A	FY23A	FY24A	FY25E
Revenue	14,852	14,209	16,000	16,700
Gr Rate (%)	3.9	3.7	4.4	4.4
NPI	2,633	2,780	2,900	3,050
Margin (%)	17.7	18.1	18.1	18.3
ROE	29.3	28.9	29.0	29.2
ROA	8.6	8.8	8.9	9.0
ROIC	11.4	11.5	11.6	11.7
Gearing	41.8	40.5	39.5	38.5

Key Executives

Judy Marks	Chief Executive Officer
Anurag Maheshwari	Chief Financial Officer

Figure 1: Revenue by Segment



Source: Company Filings

Figure 2: Image of SkyRise



Source: OTIS

Executive Summary

We are initiating coverage of **Otis Worldwide Corporation, ("OTIS")** with a BUY rating and a **\$113.47** 12M price target.

Investment thesis

- **Strategic pivot to Services** in China and **acquisition of relevant companies** in the region

- Otis is **Well-Positioned** to capitalise on the **Global Infrastructure Boom**

Valuation

Our 12M price target at the date of coverage is USD 113.47. This was derived from a 50-50 blended of (1) relative valuation of trading comparable with the NTM EV/EBITDA and P/E multiples and (2) discounted cash flow.

Company Overview

Otis: A Global Leader in Elevators and Escalators

Otis operates in over 200 countries, with two main business segments: **New Equipment** and **Service**, the latter being the primary revenue driver. While new equipment sales are cyclical and tied to real estate trends, service provides stable, recurring revenue through maintenance, repair, and modernization. However, economic headwinds, particularly in **China**, have prompted Otis to shift its focus toward cost optimization and service expansion.

Business Segments & Strategic Priorities

The **New Equipment** segment includes products like the **SkyRise** – A high-speed elevator system built for **supertall skyscrapers**, capable of operating at extreme heights and high speeds. It features advanced vibration control and aerodynamic design to enhance ride comfort. However, demand fluctuations, particularly in China's declining construction market, pose risks.

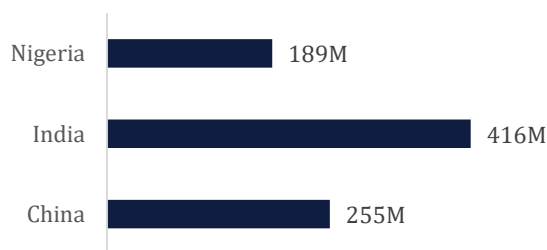
In contrast, the **Service** segment benefits from long-term maintenance contracts, modernization opportunities, and customer stickiness, making it a resilient revenue stream. Otis aims to grow this segment through **conversions, acquisitions, and IoT-enabled solutions**.

Operational Efficiency & Future Outlook

To improve margins, Otis launched the UpLift Program in 2023, targeting \$150 million in annual savings by 2025 through supply chain optimization and cost reductions. While restructuring costs will offset short-term gains, this initiative strengthens long-term resilience.

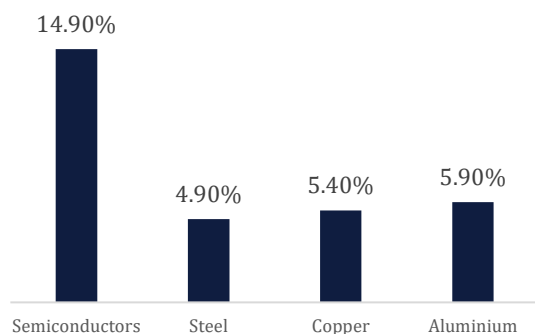
Otis's shift from a cyclical industrial manufacturer to a service-driven, tech-enabled company positions it well for future growth. Its success will depend on execution in China, maintaining service quality at scale, and navigating competitive and geopolitical risks. If managed effectively, Otis's service-first strategy, digital transformation, and cost optimizations will sustain profitability in a challenging macroeconomic landscape.

Figure 3: Urban Population Growth by 2050



Source: United Nations

Figure 4: CAGRs of Raw Materials (2024-2030)



Sources: Fortune Business Insights, Grand View Research, Business Wire, Allied Market Research

Industry Overview

Elevators are indispensable factors in urban development because of their convenience and safety. Penetration rates of elevators are thus likely to be more concentrated in developed and emerging economies focused on metropolitan expansion. Currently, the elevator industry is poised to grow at a steady CAGR of 6.7% from 2025-2030, primarily driven by robust demand across key business verticals of installation, maintenance and modernization.

Urbanisation in Emerging Economies

Rapid urban migration (figure 3) owing to a burgeoning middle class in emerging economies like China, Mexico and India necessitate high-density residential and commercial properties intertwined with efficient vertical mobility, constituting a major demand-side driver for the real estate and thus elevator industry.

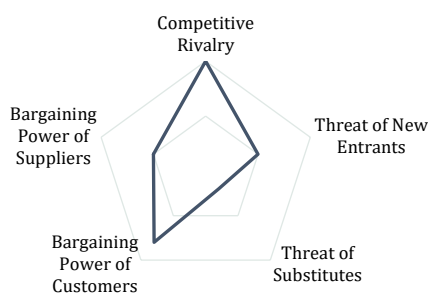
Proliferation in Infrastructure Investments

Global trends in infrastructural investments by governments in major nations for urban renewal and regeneration or transit-oriented developments accelerate the supply of projects requiring elevators.

Increasing Demand for Smart Elevators

As the government focus on integrating smart technologies in both new and existing buildings continues to grow, elevator companies are well-positioned to capitalize on this trend through modernization efforts and R&D. Strong growth in the semiconductor industry (figure 4) – a key driver of the advancement of smart elevators – is likely to bolster these innovative solutions to meet consumer expectations.

Figure 5: Porter's Five Forces Analysis



Sources: Team estimates

Porter's Five Forces

Competitive rivalry remains high as the elevator market is dominated by a few key global players (figure 6), each maintaining a firm foothold in both developed and emerging markets. Long-term contractual obligations industry-wide also keep established firms deeply entrenched in ongoing operations, heightening exit barriers.

The **threat of new entrants** is moderate, as high fixed costs, strong brand recognition and substantial economies of scale reaped erect high barriers to entry. Nevertheless, there are emerging opportunities for capital-rich, technology-driven entrants arising from the growing demand for smart elevators.

The **threat of substitutes** is low, as there limited vertical transportation solutions that match the functionality and efficiency of elevators. Realistically substitutable products will likely require significant R&D and time to materialise.

The **bargaining power of customers** is moderately high. Property developers tend to possess higher bargaining power because of their ability to negotiate long-term contracts and bulk purchase. Given that a significant portion of elevator demand is driven by property developers, the bargaining power of customers remains elevated.

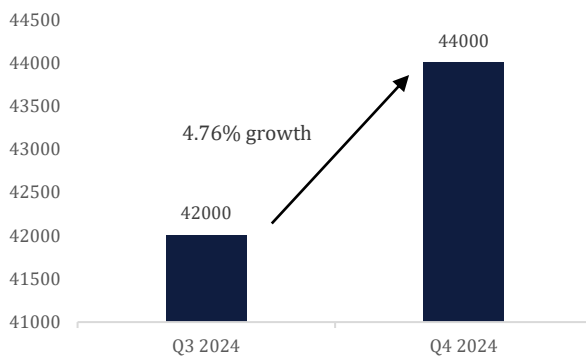
The **bargaining power of suppliers** is moderate: though most companies are not extensively vertically integrated, they have established supplier networks. Nevertheless, the complexity of advanced components required for smart elevators may bolster supplier bargaining power.

Figure 6: Key Players in the Elevator Market



Source: Fortune Business Insights

Figure 7: Increase in Hiring for Field Mechanics and Relevant Professionals



Source: Otis

Figure 8: Modernisation of escalators, as part of Otis's modernisation efforts in Chongqing



Source: Otis

Figure 9: OTIS launches Gen 3 Elevators in Thailand



Source: Otis

Street view: Service segment is the key to Otis's growth
Slowdown of equipment sales is expected to mar Otis's revenue, due to its cyclical nature. Despite this, Otis's true strengths lie in its service sales, which is expected to drive expansion in its profit margin and cost advantage.

1. Strategic pivot to Services in China and acquisition of relevant companies in the region

Pivot to its Flywheel Strategy, which enhances its Services

Otis plans to transition to its Service and mod flywheel (Flywheel) strategy in China, where it plans to drive its recurring revenue. Instead of cyclical new equipment sales of its products, it plans to focus on stable, **high-margin service and modernisation offerings**. The Flywheel strategy provides Otis with a synergistic revenue stream that leverages on its interconnectedness of the various business segments. Moreover, this allows Otis to fully capitalise on the lifecycle of its products, from the installation, maintenance and eventual modernisation of its products. Several examples include its Otis ONE digital initiative, which leverages on technology to increase the reliability and productivity of its services.

Otis is well equipped to carry out its strategy, given its long-standing trust it has built with its customers and its deep expertise. Otis has strengthened its workforce of field mechanics and professionals by 4.76% in Q4 2024 (figure 7), ensuring that it has the necessary human capital. Moreover, it has successfully carried out modernisation efforts previously in China, such as the upgrade of Chongqing Metro Line 2 (figure 8).

Acquisition of Jardine Schindler in Taiwan, hinting at possible acquisitions in China

Otis recent acquisition of Jardine Schindler further shows its commitment, as it expands its footprint in the region. Otis can further strengthen its Flywheel strategy through the acquisition, with the increase in its customer base. Looking ahead, Otis can better position itself for future merger and acquisition activities in China.

2. Otis is Well-Positioned to Capitalise on the Global Infrastructure Boom

Otis Worldwide Corporation, the global leader in elevator and escalator solutions, operates in a dynamic economic landscape where shifting market conditions significantly impact its revenue, costs, and net income. The company's three core market segments—**residential, commercial, and infrastructure**—exhibit distinct economic sensitivities, requiring strategic adaptation to global trends. Global Infrastructure Spending hits these cores market segments positively.

Infrastructure Sector: Direct Growth from Government Projects. Government-funded projects, such as public transit systems, airports, and high-density buildings, directly boost Otis's revenue. Initiatives like the \$1.2 trillion U.S. Infrastructure Law and China's Five-Year Plan drive demand for modern elevators and escalators. Additionally, long-term maintenance contracts from hospitals, government buildings, and public spaces ensure stable recurring revenue. The push for energy-efficient, smart infrastructure further accelerates modernization opportunities.

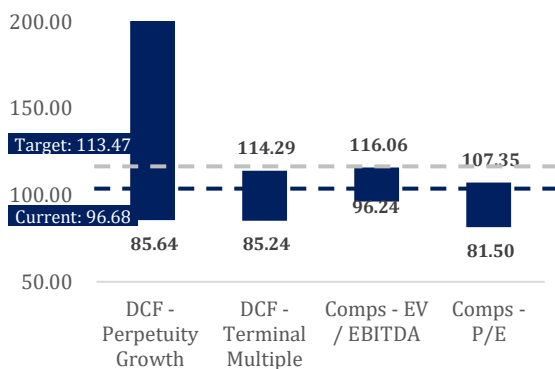
Commercial Sector: Indirect Growth from Urban Expansion. Infrastructure investment stimulates commercial real estate

Figure 10: Saudi Arabia's NEOM Project



Source: Tourist Saudi Arabia

Figure 11: Football Field Analysis



Source: Team Estimates

Figure 12: WACC Computation

Weighted Average Cost of Capital	
Book Value of Borrowings (USD Mil)	6,973
Market Value of Equity (USD Mil)	37,875
Total	44,848
Weight of Debt	15.5%
Weight of Equity	84.5%
Cost of Debt	
Interest Expense	119
Tax Rate	15.0%
Pre-Tax Cost of Debt	1.7%
After-Tax Cost of Debt	1.5%
Cost of Equity	
Risk-Free Rate (Rf)	4.56%
Equity Risk Premium	4.33%
Unlevered Beta	0.96
Cost of Equity (CAPM)	8.72%
Average WACC	7.6%

Source: Team Estimates

development, increasing demand for high-rise office buildings, malls, and hotels. For example, Saudi Arabia's \$500 billion NEOM project and Europe's Green Infrastructure Program drive demand for modern, energy-efficient elevator systems (figure 9). As cities expand, commercial developments follow, reinforcing demand for Otis's products and services.

Residential Sector: High-Rise Living and Urbanization

As governments invest in public transport and smart cities, residential high-rises become more viable. China's affordable housing initiatives and Brazil's \$5 billion housing program are driving demand for mid-rise and high-rise elevators. Even when private real estate slows, public housing projects ensure steady installation and service revenue for Otis.

Financial Impact and Long-Term Growth

Increased infrastructure spending will boost Otis's revenue, drive stable cash flows from service contracts, and create economies of scale. As urban mobility expands, Otis's IoT-driven, AI-enabled elevators enhance efficiency and profitability. With governments prioritizing sustainable, smart buildings, Otis is positioned for long-term revenue growth, margin expansion, and market leadership.

Valuation

Valuation Price Target: **USD: 113.47**

Our blended price target of USD 113.47 (17% upside) was calculated via a weighted average (50%/50%) of relative valuation (EV/EBITDA, P/E) and intrinsic valuation (DCF) methodologies. We assigned equal weightage to both methodologies to balance the benefits of market-based valuation with the fundamental approach of intrinsic valuation. The valuation ranges produced by different methods are visualized in the valuation football chart (figure 11).

Intrinsic Valuation

Our two-stage free cash flow to firm (FCFF) DCF computed an intrinsic valuation of USD 124.21 per share, representing an 31% upside. We chose a 5-year time horizon through FY29 to sufficiently encompass Otis' strategic initiatives, including technological advancements, service expansion, and potential acquisitions.

Revenue Build

For revenue, we forecasted revenue growth for each of OTIS business segments, based on historical growth trends, management guidance as well as the industry demand drivers.

Cost Build

Cost drivers were further broken down into cost of product sold, cost of services sold, SG&A and R&D expenses, which were projected as a percentage of revenue, we expect these costs to decline as OTIS begins to realise cost savings and operational efficiencies with its UpLift programme as well as operational restructuring in China.

WACC

Cost of Equity was calculated using CAPM, beginning with the risk-free rate, assumed to be the US 10Y Treasury Yield of 4.56% (figure 12). We used Damodaran's US Market Risk Premium data to derive an Equity Risk Premium of 5.54%. We then multiply that by a 5-year regression beta of 0.96, obtained from CapIQ. Incorporating all these components, we arrive at 8.72% for our Cost of Equity.

The pre-tax cost of debt was adjusted for the tax shield, using Otis' effective tax rate over the past 5 year.

Figure 13: Comps Set

Source: Team Estimates

Figure 14: China's Property Market Crisis



Source: Cato Institute

Figure 15: Trump Tariffs imposition of Tariffs on Steel and Aluminium



Source: Trump Administration

Terminal Growth Rate

Derived using the Gordon Growth Model, assuming a terminal growth rate of 3.0% - in line with long-term US GDP growth projections and reflects Otis' sustainable growth in the elevator industry.

Relative Valuation

Our relative valuation was based on NTM EV/EBITDA and P/E multiples, resulting in USD 100.29 (6% upside) implied share price.

EV/EBITDA and P/E Approach: We benchmarked Otis against industry peers. We applied the median EV/EBITDA multiple of 15.5x and P/E multiple of 23.8x to capture Otis' earnings potential.

Investment Recommendation

We recommend a BUY rating on OTIS with a target price of USD 113.47 and an entry price of USD 96.68, reflecting an 17% upside over a 12-month investment horizon. Our bullish outlook is driven by strong revenue visibility from the growing services and modernization segment, which provides higher margins and recurring revenue, offsetting cyclical weakness in new equipment sales. Additionally, global infrastructure spending tailwinds and urbanization trends support long-term demand for Otis's solutions.

Key catalysts include market share gains in high-growth emerging markets, increased adoption of IoT-driven predictive maintenance, and operational efficiencies enhancing profitability.

Investment Risks

Slow Recovery of Residential Properties in China

The recovery of residential properties looks to be gradual, as demand slows down in the short term. This can be attributed to the challenging financial conditions faced by real estate developers and the oversupply of housing, limiting residential construction.

Mitigation

Otis is transitioning to its services-related revenue streams, which will form a reliable and consistent portion of its revenue. Additionally, Otis has also diversified its projects to non-residential real estate, such as airports and train stations. For example, Otis has modernising Xi'an airport, as part of its Services flywheel strategy

Trump Tariffs on China & Key Materials

Otis faces significant risks from the 2025 steel and aluminium tariffs, particularly in terms of increased production costs and competitive disadvantages. The 25% tariff on steel and aluminium will raise material costs, directly impacting elevator production expenses. As a result, profit margins could be compressed, or Otis may have to increase prices, which makes offerings less attractive to customers. Additionally, Otis could face competitive disadvantages as rival elevator manufacturers operating outside the U.S., who are not subject to these tariffs, will benefit from lower material costs. This cost disparity allows them to offer cheaper products, reducing Otis's market share in both domestic and international markets.

Mitigation

To mitigate these risks, Otis can diversify its supply chain by sourcing materials from alternative suppliers, particularly those in countries with favourable trade agreements like Mexico and Canada. The United States-Mexico-Canada Agreement can help OTIS avoid the 25% tariff. By implementing this strategy, Otis can maintain its price competitiveness while minimizing the impact of the tariffs on its operations.

Appendix:

Appendix 1: 3 Financial Statements

OTIS Model		Units: Millions of USD									
		Dec-20 (A)	Dec-21 (A)	Dec-22 (A)	Dec-23 (A)	Dec-24 (A)	Dec-25 (F)	Dec-26 (F)	Dec-27 (F)	Dec-28 (F)	Dec-29 (F)
Income Statement											
Product sales		5,371	6,428	5,864	5,812	5,367	5,582	5,805	6,037	6,279	6,530
Service sales		7,385	7,870	7,821	8,397	8,894	9,426	9,995	10,601	11,249	11,940
Revenue		12,756	14,298	13,685	14,209	14,261	15,008	15,800	16,638	17,527	18,470
Cost of products sold		(4,439)	(5,293)	(4,949)	(4,843)	(4,459)	(4,502)	(4,740)	(4,991)	(5,258)	(5,541)
Cost of services sold		(4,538)	(4,812)	(4,816)	(5,173)	(5,545)	(5,703)	(6,004)	(6,322)	(6,660)	(7,019)
Gross profit		3,779	4,193	3,920	4,193	4,257	4,803	5,056	5,324	5,609	5,910
Research and development		(152)	(159)	(150)	(144)	(152)	(150)	(158)	(166)	(175)	(185)
Selling, general and administrative		(1,924)	(1,948)	(1,763)	(1,884)	(1,861)	(1,876)	(1,975)	(2,080)	(2,191)	(2,309)
Other income (expense), net		(64)	22	26	21	(236)	30	32	33	35	37
EBIT		1,639	2,108	2,033	2,186	2,008	2,807	2,955	3,111	3,278	3,454
Non-service pension cost		(6)	(11)	(2)	(5)	-	-	-	-	-	-
Interest expense (income), net		(122)	(136)	(143)	(150)	31	(150)	(158)	(166)	(175)	(185)
EBT		1,511	1,961	1,888	2,031	2,039	2,656	2,797	2,945	3,102	3,269
Income tax expense		(455)	(541)	(519)	(533)	(305)	(672)	(707)	(744)	(784)	(826)
Net income to company		1,056	1,420	1,369	1,498	1,734	1,985	2,090	2,201	2,318	2,443
Minority interest in earnings		(150)	(174)	(116)	(92)	(89)	(94)	(99)	(104)	(109)	(115)
Net income		906	1,246	1,253	1,406	1,645	1,891	1,991	2,097	2,209	2,328

OTIS Model		Units: Millions of USD									
		Dec-20 (A)	Dec-21 (A)	Dec-22 (A)	Dec-23 (A)	Dec-24 (A)	Dec-25 (F)	Dec-26 (F)	Dec-27 (F)	Dec-28 (F)	Dec-29 (F)
Balance Sheet											
ASSETS											
Current assets											
Cash and cash equivalents		1,782	1,565	1,189	1,274	2,300	5,171	6,878	8,679	10,578	12,582
Restricted cash		-	1,910	5	-	-	-	-	-	-	-
Accounts receivable		3,148	3,232	3,357	3,538	3,428	3,660	3,852	4,057	4,274	4,504
Contract assets		458	550	664	717	706	706	706	706	706	706
Inventories		659	622	617	612	557	592	623	656	691	729
Other current assets		446	382	311	259	679	679	679	679	679	679
Total current assets		6,493	8,261	6,143	6,400	7,670	10,807	12,739	14,777	16,928	19,199
Non-current assets											
Future income tax benefits		334	335	285	323	302	302	302	302	302	302
Fixed assets, net		774	774	719	727	701	686	670	654	636	618
Operating lease right-of-use assets		542	526	449	416	422	444	468	492	519	547
Intangible assets, net		484	419	369	335	311	311	311	311	311	311
Goodwill		1,773	1,667	1,567	1,588	1,548	1,548	1,548	1,548	1,548	1,548
Other assets		310	297	287	328	362	362	362	362	362	362
Total non-current assets		4,217	4,018	3,676	3,717	3,646	3,653	3,661	3,669	3,678	3,687
Total assets		10,710	12,279	9,819	10,117	11,316	14,460	16,400	18,446	20,606	22,886
Liabilities											
Current liabilities											
Short-term borrowings and current portion of long-term debt		701	24	670	32	1,351	1,351	1,351	1,351	1,351	1,351
Accounts payable		1,453	1,556	1,717	1,878	1,879	1,929	2,031	2,139	2,253	2,374
Accrued liabilities		1,977	1,993	1,794	1,873	1,921	1,921	1,921	1,921	1,921	1,921
Contract liabilities		2,542	2,674	2,662	2,696	2,598	2,598	2,598	2,598	2,598	2,598
Total current liabilities		6,673	6,247	6,843	6,479	7,749	7,799	7,901	8,009	8,123	8,244
Non-current liabilities											
Long-term debt		5,262	7,249	6,098	6,866	6,973	8,754	9,209	9,691	10,202	10,744
Future pension and postretirement benefit obligations		654	558	392	462	434	434	434	434	434	434
Operating lease liabilities		367	336	315	292	298	320	344	368	395	423
Future income tax obligations		321	267	279	245	207	207	207	207	207	207
Other long-term liabilities		634	606	556	493	383	383	383	383	383	383
Total non-current liabilities		7,238	9,016	7,640	8,358	8,295	10,098	10,576	11,083	11,621	12,191
Total Liabilities		13,911	15,263	14,483	14,837	16,044	17,897	18,477	19,092	19,744	20,435
Equity											
Redeemable noncontrolling interest		83	160	135	135	57	57	57	57	57	57
Common Stock and additional paid-in-capital		59	119	162	213	265	265	265	265	265	265
Treasury Stock		(3,076)	(725)	(1,575)	(2,382)	(3,390)	(3,390)	(3,390)	(3,390)	(3,390)	(3,390)
Accumulated deficit		-	(2,256)	(2,865)	(2,005)	(978)	313	1,673	3,104	4,612	6,201
Accumulated other comprehensive income (loss)		(815)	(763)	(592)	(750)	(745)	(745)	(745)	(745)	(745)	(745)
Noncontrolling interest		548	481	71	69	63	63	63	63	63	63
Total Equity		(3,201)	(2,984)	(4,664)	(4,720)	(4,728)	(3,437)	(2,077)	(646)	862	2,451
Total Equity and Liabilities		10,710	12,279	9,819	10,117	11,316	14,460	16,400	18,446	20,606	22,886
check		-	-	-	-	-	-	-	-	-	-

OTIS Model

Units: Millions of USD

Cash Flow Statement

Cash flows from operating activities

Net income	1,056	1,420	1,369	1,498	1,734	1,985	2,090	2,201	2,318	2,443
Adjustments to reconcile net income										
Interest expense (income), net	-	-	-	-	-	150	158	166	175	185
Depreciation and amortization	191	203	191	193	181	180	190	200	210	222
Deferred income tax expense (benefit)	(51)	(92)	(16)	(61)	(31)	-	-	-	-	-
Stock compensation cost	63	65	67	64	73	-	-	-	-	-
Gain from reversal of German Tax Litigation interest accrual	71	-	-	-	(50)	-	-	-	-	-
Change in:										
Accounts receivable, net	(163)	(152)	(309)	(239)	(68)	(232)	(193)	(204)	(217)	(230)
Contract assets and liabilities, current	282	53	38	(30)	(40)	-	-	-	-	-
Inventories	(76)	14	(65)	15	26	(35)	(31)	(33)	(35)	(37)
Other current assets	28	43	52	38	(354)	-	-	-	-	-
Accounts payable	20	130	272	152	57	50	102	108	114	121
Accrued liabilities	(14)	72	(84)	33	85	-	-	-	-	-
Pension and post retirement contributions	(64)	(37)	(34)	(48)	(51)	-	-	-	-	-
Other operating activities, net	137	31	79	12	1	-	-	-	-	-

Net cash from operating activities

1,480 1,750 1,560 1,627 1,563 2,099 2,315 2,437 2,566 2,703

Cash flows from investing activities

Capital expenditures	(183)	(156)	(115)	(138)	(126)	(165)	(174)	(183)	(193)	(203)
Acquisitions of businesses and intangible assets, net of cash	(53)	(80)	(46)	(36)	(87)	-	-	-	-	-
Dispositions of businesses, net of cash	-	-	61	-	-	-	-	-	-	-
Proceeds from sale of (investments in) marketable securities, net	(51)	40	(7)	4	(9)	-	-	-	-	-
Receipts (payments) on settlements of derivative contracts, net	(69)	73	65	(28)	49	-	-	-	-	-
Other investing activities, net	3	34	9	15	9	-	-	-	-	-

Net cash from investing activities

(353) (89) (33) (183) (164) (165) (174) (183) (193) (203)

Cash flows from financing activities

Net proceeds from (repayments of borrowings)	647	(304)	113	(113)	11	-	-	-	-	-
Proceeds from borrowings (maturities longer than 90 days)	-	152	-	-	-	-	-	-	-	-
Repayments of borrowings (maturities longer than 90 days)	-	(503)	-	-	-	-	-	-	-	-
Issuance of long-term debt	6,300	2,030	-	747	1,497	1,781	455	482	511	542
Payment of debt issuance costs	(43)	(25)	-	(6)	(11)	-	-	-	-	-
Repayment of long-term debt	(1,000)	-	(500)	(534)	-	-	-	-	-	-
Dividends paid on Common Stock	(260)	(393)	(465)	(539)	(606)	(694)	(730)	(769)	(810)	(854)
Repurchases of Common Stock	-	(725)	(850)	(800)	(1,007)	-	-	-	-	-
Acquisition of noncontrolling interest shares	(149)	(155)	(1,802)	-	(75)	-	-	-	-	-
Dividends paid to noncontrolling interest	-	-	(118)	(85)	(94)	-	-	-	-	-
Net transfers to UTC	(6,330)	-	-	-	-	-	-	-	-	-
Other financing activities, net	(9)	(19)	(30)	(20)	(24)	(150)	(158)	(166)	(175)	(185)

Net cash from financing activities

(844) 58 (3,652) (1,350) (309) 937 (433) (453) (474) (496)

Effect of foreign exchange rate changes	59	(43)	(157)	(9)	(49)	-	-	-	-	-
Net increase in cash and cash equivalents	342	1,676	(2,282)	85	1,041	2,871	1,708	1,801	1,899	2,004
Beginning cash balance	1,440	(111)	3,471	1,189	1,259	2,300	5,171	6,878	8,679	10,578
Ending cash balance	1,782	1,565	1,189	1,274	2,300	5,171	6,878	8,679	10,578	12,582

Appendix 2: Discounted Cash Flow Model

OTIS Model

DCF Valuation

Dec-20 (A) Dec-21 (A) Dec-22 (A) Dec-23 (A) Dec-24 (A) Dec-25 (F) Dec-26 (F) Dec-27 (F) Dec-28 (F) Dec-29 (F)

Unlevered Free Cash Flow

Tax Rate	15.0%
WACC	7.6%

EBIT	1,639	2,108	2,033	2,186	2,008	2,807	2,955	3,111	3,278	3,454
Unlevered Taxes	245	315	304	327	300	420	442	465	490	517
NOPAT	1,394	1,793	1,729	1,859	1,708	2,387	2,513	2,646	2,787	2,937
(+) Depreciation	191	203	191	193	181	180	190	200	210	222
(-) CAPEX	(183)	(156)	(115)	(138)	(126)	(165)	(174)	(183)	(193)	(203)
(+) Changes in working capital	(219)	(8)	(102)	(72)	15	(216)	(122)	(130)	(138)	(146)
Unlevered Free Cash Flow	1,183	1,832	1,703	1,842	1,778	2,185	2,406	2,533	2,667	2,810
PV of UFCF						2,031	2,079	2,034	1,991	1,949

Terminal Value

WACC: 7.6%

Perpetual Growth Method

Perpetual Growth Rate	3.0%
Last Year	2,894
Terminal Value	63,092
PV of Terminal Value	43,769

Exit Multiple Method

EV/EBITDA Multiple	17.4x
Terminal Value	48,836
PV of Terminal Value	33,880

Valuation

Perpetual Growth Method	
Enterprise Value	53,853
Less: Net Debt	4,673
Equity Value	49,180
Shares Outstanding	397
Share Price	124.03
Current Price	96.68
Upside / (Downside)	28.29%

Exit Multiple Method	
Enterprise Value	43,963
Less: Net Debt	4,673
Equity Value	39,290
Shares Outstanding	397
Share Price	99.09
Current Price	96.68
Upside / (Downside)	2%

Sensitivity Analysis

Equity Value per Share

	Perpetuity Growth Rate				
	2.0%	2.5%	3.0%	3.5%	4.0%
8.6%	85.64	91.99	99.49	108.45	119.37
8.1%	93.79	101.42	110.55	121.68	135.52
7.6%	103.39	112.70	124.03	138.13	156.17
7.1%	114.89	126.44	140.81	159.18	183.51
6.6%	128.90	143.54	162.27	187.06	221.43

Equity Value per Share

	Exit Multiple				
	15.4x	16.4x	17.4x	18.4x	19.4x
8.6%	85.24	89.93	94.63	99.32	104.02
8.1%	87.27	92.07	96.88	101.68	106.48
7.6%	89.35	94.27	99.18	104.10	109.02
7.1%	91.49	96.52	101.55	106.59	111.62
6.6%	93.69	98.84	103.99	109.14	114.29

Appendix 3: Comps Set

OTIS Model

Comps Set

Peer Companies	in USD	Share	Shares	Market	Net	Enterprise	EBITDA		EPS		EV / EBITDA		P / E	
		Price	Outstand.	Cap	Debt	Value	2024A	2025F	2024A	2025F	2024A	2025F	2024A	2025F
		\$	mm								x	x	x	x
KONE Oyj (HLSE:KNEBV)		51.29	518	26,548	(986)	25,562	1,594	1,780	1.90	2.21	16.0x	14.4x	27.0x	23.2x
Emerson Electric Co. (NYSE:EMR)		124.37	564	70,132	5,422	75,554	4,727	5,076	3.55	6.06	16.0x	14.9x	35.0x	20.5x
Stanley Black & Decker, Inc. (NYSE:SWK)		86.46	154	13,332	5,813	19,145	1,582	1,832	1.89	5.29	12.1x	10.5x	45.7x	16.3x
Illinois Tool Works Inc. (NYSE:ITW)		255.56	295	75,467	6,915	82,382	4,664	4,642	11.71	10.46	17.7x	17.7x	21.8x	24.4x
Schindler Holding AG (SWX:SCHN)		279.89	108	30,116	(2,627)	27,489	1,627	1,879	9.46	10.62	16.9x	14.6x	29.6x	26.4x
Rockwell Automation, Inc. (NYSE:ROK)		268.40	113	30,329	3,614	33,943	1,614	1,666	8.28	9.26	21.0x	20.4x	32.4x	29.0x
Parker-Hannifin Corporation (NYSE:PH)		683.94	129	88,091	8,646	96,737	4,983	5,318	24.21	27.98	19.4x	18.2x	28.3x	24.4x
Honeywell International Inc. (NasdaqGS:HON)		205.52	650	133,629	20,146	153,775	8,994	10,645	8.71	10.62	17.1x	14.4x	23.6x	19.4x
Ingersoll Rand Inc. (NYSE:IR)		90.95	403	36,653	3,507	40,159	1,901	2,122	2	3	21.1x	18.9x	44.4x	27.1x
Fortive Corporation (NYSE:FTV)		79.09	341	26,986	2,894	29,880	1,687	1,858	2	4	17.7x	16.1x	33.5x	19.2x
Average											17.5x	16.0x	32.1x	23.0x
Median											17.4x	15.5x	31.0x	23.8x
75th Percentile											19.0x	18.1x	34.7x	25.9x
25th Percentile											16.3x	14.5x	27.3x	19.6x

Comps Valuation

	EV / EBITDA		P/E	
	LTM	NTM	LTM	NTM
Comps Median	17.4x	15.5x	31.0x	23.8x
EV	38,046	33,894		
Net Debt	6,442	6,442		
Equity Value	44,488	40,336		
Shares	397	397	397	397
Share Price	112	102	129	99

	EV / EBITDA		P/E	
	LTM	NTM	LTM	NTM
Comps 75th Percentile	19.0x	18.1x	34.7x	25.9x
EV	41,560	39,578		
Net Debt	6,442	6,442		
Equity Value	48,002	46,020		
Shares	397	397	397	397
Share Price	121	116	144	107

	EV / EBITDA		P/E	
	2024A	2025F	2024A	2025F
Comps 25th Percentile	16.3x	14.5x	27.3x	19.6x
EV	35,579	31,721		
Net Debt	6,442	6,442		
Equity Value	42,021	38,163		
Shares	397	397	397	397
Share Price	106	96	113	81